



- Why do investors earn less interest and pay more? Ravi is highly educated, has a successful career in margin trading and is a savvy investor. In spite of the high interests paid by him, his returns from the business seem quite handsome. Being conservative, he prided himself on having comfortable bank deposits to take care of any unforeseen eventualities. He knew that the bank deposits offered a lower rate of return but he felt that was a price he would pay for the margin of safety that banks offered. It is ironical that he pays high interests in his margin trading while his own money earns a much lower interest in bank deposits. How much better off he would be if he utilised his own money for his own stock trade and avoided paying such high rates of interest. This is not a stray case; most people make such mistakes. The problem is that they have two mental accounts—"safe money" and "risk money"—for the same money.
- Most people believe that a bonus share is a freebie given by the company to its shareholders. They even buy more shares on such news. But they are dead wrong. Companies give bonus shares to capitalise reserves and balance their finances. But investors don't see it that way. They consider it to be a windfall. This leads them to become extravagant. Most investors suffer from this mental accounting error. That's why the stock markets rise on such announcements.
- Day traders trade in and out of a stock, time and again, with very narrow spreads. They think that they are generating income profitably. But consider the transaction costs and the brokerage they pay on such volumes. What they are in actually is the business of enriching their brokers and the tax authorities. It's like buying groceries and not heeding the cost.

Before discussing the plan of action it is important to understand that there are no set rules. The best advice is to refrain from using credit cards, and to treat all monies equally. We all have our individual faults and we have to decide what we need to do for ourselves. Mental accounting also has its positive and negative aspects and it is up to each individual to know what is best for him. For instance, if you are a big spender and unable to curtail